

THE FACILITY PROJECT SPECIFIC PROFESSIONAL LIABILITY INSURANCE POLICY

THIS IS A CLAIMS-MADE AND REPORTED POLICY. SUBJECT TO ITS TERMS AND CONDITIONS, THIS POLICY ONLY COVERS **CLAIMS** FIRST MADE AGAINST AN **INSURED** AND REPORTED TO THE **COMPANY** DURING THE **POLICY PERIOD**, OR DURING THE **EXTENDED REPORTING PERIOD**, IF APPLICABLE. **CLAIMS EXPENSES** ARE INCLUDED IN, AND WILL REDUCE, THE LIMITS OF LIABILITY. PLEASE READ THE ENTIRE POLICY CAREFULLY, AND CONSULT WITH YOUR BROKER/AGENT OR OTHER PROFESSIONAL TO THE EXTENT YOU DO NOT UNDERSTAND ANY TERMS OR CONDITIONS OF THIS POLICY.

WORDS THAT APPEAR IN BOLD PRINT HAVE SPECIAL MEANINGS AND ARE DEFINED SEPARATELY. WHENEVER A SINGULAR FORM OF A WORD IS USED, THE SAME WILL INCLUDE THE PLURAL WHEN REQUIRED BY CONTEXT.

In consideration of the payment of the premium by the **First Named Insured**, the agreement of the **First Named Insured** to pay the Self-Insured Retention amount stated in the Declarations and described herein, and in reliance upon the particulars, statements, representations, attachments and exhibits contained in and submitted with the Application which shall be the basis of this Policy and deemed to be incorporated herein, and subject to all the terms, conditions, limitations and any endorsements to this Policy, the **Company** and **Insureds** agree as follows:

I. INSURING AGREEMENTS

(A) Claims-Made and Reported Coverage:

The **Company** will pay on behalf of the **Insured** all sums in excess of the Self-Insured Retention amount stated in the Declarations which the **Insured** shall become legally obligated to pay as **Damages** resulting from **Claims** first made against the **Insured** during the **Policy Period**, or **Extended Reporting Period**, if applicable, as a result of a **Wrongful Act** by an **Insured** or any entity for whom an **Insured** is legally liable, solely for the Project(s) specified in the Covered Project Endorsement, provided that:

- Such **Wrongful Act** was committed on or after the **Retroactive Date** and before the end of the **Policy Period**.
- No **Insured** gave notice to any prior insurer of such **Wrongful Act**.
- The **Insured** has reported such **Claim** in writing to the **Company** in accordance with section IV. Conditions (A) Insureds Reporting Obligations, during the **Policy Period**, or during the **Extended Reporting Period**, if applicable.
- Prior to the effective date of this Policy, none of any **Insured's** directors, officers, principals, partners, or insurance managers knew or could have reasonably foreseen that such **Wrongful Act** might give rise to a **Claim**.

(B) Territory:

The coverage afforded by this Policy applies worldwide.

(C) Claims Expenses:

Claims Expenses in excess of the Self-Insured Retention shall be paid by the **Company**, and such payments will reduce the Limit of Liability.

(D) Defense and Settlement:

Any **Claim** or **Circumstance** must be reported in writing by the **Insured** in accordance with section IV. Conditions, (A) Insureds Reporting Obligations of this Policy. The **Company** has the right to investigate, control the defense of, and settle any **Claim** or **Circumstance**, subject to the following:

1. No **Insured** shall admit or assume liability for any **Wrongful Act**, or settle any **Claim**, or incur any expenses, including **Claims Expenses**, without the written consent of the **Company**. However, each **Insured** must take all reasonable action within its ability to prevent or mitigate any **Claim** or **Circumstance** which would be covered under this Policy.
2. The **Company** has the right to investigate, appoint defense counsel, and control the defense, for any **Claim** or **Circumstance** in accordance with a **Joint Defense** approach (subject to any required ethical considerations or regulatory requirements for independent legal counsel) reported under this Policy. Under the **Joint Defense** provisions, and as a condition precedent to coverage under this Policy, each **Insured** shall consent to and agree with a **Joint Defense** and be obligated to cooperate with the **Company** in the investigation, defense and/or settlement of any **Claim** or **Circumstance** under such **Joint Defense**.
3. As a condition precedent to coverage under this Policy, no **Insured** shall assert against another **Insured** any **Claim**, counter-claim, cross-claim, third party claim, for negligence, contribution, indemnification, subrogation or any other action, arising from a **Claim** or **Circumstance** reported and covered under this Policy.
4. The appointed **Program Manager** (hereinafter **Program Manager**) for all **Insureds**, shall be responsible for the investigation and evaluation of any reported **Claim** or **Circumstance**, and for the management and coordination of the **Joint Defense** obligations of each **Insured** under this Policy. In that capacity, the **Program Manager** shall investigate, defend, or otherwise protect the interests of all **Insureds** involved in any **Circumstance** or **Claim**.

The **Program Manager** shall be responsible for the management and the coordination of the **Joint Defense** obligations of each **Insured** under this Policy. **Joint Defense** counsel shall have the obligation to timely report and work in cooperation with the **Program Manager's** management, direction and advice, subject to the **Company's** guidelines for defense counsel. In such instances, **Joint Defense** counsel shall have the obligation to fully cooperate and work in conjunction with and timely report to the **Program Manager**, as the latter, in its capacity as **Program Manager**, reasonably deems necessary and appropriate of appointed **Joint Defense** counsel and the defense effort.

5. The **Company** has the right to conduct negotiations and with the written consent of the **First Named Insured**, on behalf of all **Insureds**, effect settlement of any **Claim** as the **Company** deems reasonable.

Prior to the settlement and/or compromise of any **Claim**, the **Program Manager** will consult with the **Company** and all of the **Insureds** involved in the **Claim** and will endeavor, within reason, to reach a consensus as to (a) whether the **Claim** shall be settled or compromised and (b) the amount of any payment required or appropriate in connection with any such settlement or compromise. In the event that consensus is not achieved, the **Company** shall have the right to make the final and binding decision regarding the settlement or compromise. The provisions of this paragraph shall apply regardless of whether the amount involved in any settlement or compromise is within or in excess of the Self-Insured Retention.

If the **First Named Insured**, on behalf of all **Insureds**, refuses to or otherwise fails to consent to a settlement or compromise recommended by the **Company** and elects to contest or continue to contest the **Claim**, the **Company's** liability shall not exceed the amount for which the **Company** would have been liable for **Damages** and **Claims Expenses** if the **Claim** had been so settled when and as so recommended, and the **Company** shall have the right to withdraw from the further defense of the **Claim** by tendering control of the defense thereof to the **First Named Insured**. The operation of this paragraph shall be subject to the Limits of Liability and Self-Insured Retention provisions of this Policy.

6. The **Company** shall not be obligated to pay any **Damages** and/or **Claims Expenses**, or to undertake or continue the defense of any **Claim** after the applicable limit of the **Company's** liability has been exhausted by payment of **Damages** and/or **Claims Expenses** or after deposit of the applicable limit of the **Company's** liability with or subject to control of a court of competent jurisdiction.

II. DEFINITIONS

- (A) "**Agency Construction Manager Services**" means professional consulting services to a project owner or client for a fee to assist in the oversight of a project and progress of the design and construction process. **Agency Construction Manager Services** shall not include an **Insured's** responsibility by contract or otherwise to perform any construction, erection, fabrication, installation, assembly, manufacture or remediation either by an **Insured** or through any construction contractor at any tier.
- (B) "**Bodily Injury**" means physical bodily injury, sickness, disease sustained by a person, including death at any time resulting from any of these.
- (C) "**Claim**" means a demand naming an **Insured** seeking **Damages** and/or **Professional Services** arising out of a **Wrongful Act** by the **Insured** or any entity for whom an **Insured** is legally liable, solely for the Project(s) specified in the Covered Project Endorsement.
- (D) "**Claims Expenses**" means:
 - (1) Reasonable and necessary fees charged by an attorney(s) designated by the **Company**, or designated by the **Insured** with the **Company's** written consent, to defend a **Claim** or **Circumstance** and;
 - (2) All other fees, costs, and charges, resulting from the investigation, adjustment, defense, and appeal of a **Claim**, if incurred by the **Company**, or by an **Insured** with the **Company's** written consent, including premiums on appeal bonds, provided that the **Company** shall not be obligated to apply for or furnish such appeal bonds.

The determination by the **Company** as to the reasonableness of **Claims Expenses** shall be conclusive on the **Insured**. **Claims Expenses** do not include salary charges, wages or expenses of partners, principals, officers, directors, members or employees of either the **Company** or **Insured**.
- (E) "**Circumstance**" means an event or incident arising from a specific **Wrongful Act** which an **Insured** reasonably expects to give rise to a **Claim** and is reported to the **Company** in writing during the **Policy Period** in accordance with section IV. Conditions (A) Insureds Reporting Obligations.
- (F) "**Company**" means those companies listed in the Schedule of Participating Insurers Endorsement.

- (G) "**Damages**" means any compensatory monetary amount for which an **Insured** may be held legally liable, including judgments (inclusive of any pre- or post-judgment interest), awards, or settlements negotiated with the approval of the **Company**. **Damages** do not include any return, withdrawal or reduction of professional fees, profits or other charges.

Damages also shall not include fines, sanctions, taxes, liquidated damages, penalties or awards deemed uninsurable pursuant to any applicable law. This definition does not exclude punitive or exemplary damages or the multiple portion of any multiplied damage award unless such damages are uninsurable pursuant to applicable law. The insurability of such damages shall be governed by the internal laws of any applicable jurisdiction which permits coverage of such damages.

- (H) "**Extended Reporting Period**" means the applicable period of time, as specified in Item 6. of the Declarations, after the end of the **Policy Period** for reporting **Claims** arising out of **Wrongful Acts** committed or alleged to have been committed prior to the end of the **Policy Period** and on or subsequent to the **Retroactive Date**, and otherwise covered by this Policy.

- (I) "**First Named Insured**" means the **Insured** identified in Item 1. of the Declarations Page that is the sole agent of this policy and has certain obligations and responsibilities as identified in section IV. Conditions (O) First Named Insured as Sole Agent.

- (J) "**Insured**" means only the following:

- (1) The **First Named Insured** designated in Item 1. of the Declarations Page;
- (2) Additional Named Insured(s) identified and included by Endorsement to this Policy;
- (3) Any person who is, was, or hereafter becomes a partner, principal, officer, director, member, or employee of the **First Named Insured** or Additional Named Insured, but only while acting on behalf of the **First Named Insured** or Additional Named Insured, solely for the Project(s) specified in the Covered Project Endorsement.
- (4) Any temporary or leased personnel, or retired personnel of the **First Named Insured** or Additional Named Insured, but only while acting under the direct supervision and on behalf of the **First Named Insured** or Additional Named Insured solely for the Project(s) specified in the Covered Project Endorsement.
- (5) The estate, heirs, executors, administrators, and legal representatives of an **Insured**, in the event of such **Insured's** death, disability, incapacity, insolvency, or bankruptcy, but only to the extent such **Insured** would have otherwise been provided coverage under this Policy.

- (K) "**Joint Defense**" means a defense strategy in which two or more **Insureds** join together and share information in a cooperative effort under common legal representation.

- (L) "**Nuclear Facility**" means the site at which a nuclear reactor is located or where nuclear waste or material is disposed of or stored.

- (M) "**Operations or Maintenance Services**" means those services performed subsequent to substantial project completion involving any operations or maintenance related to the Project(s) specified in the Covered Project Endorsement

- (N) "**Personal Injury**" means false arrest, detention or imprisonment, or malicious prosecution; the publication or utterance of a libel or slander or other defamatory or disparaging material; a publication or utterance in violation of an individual's right of privacy; wrongful entry or eviction; or the invasion of the right of private occupancy.

- (O) "**Policy Period**" means the period specified in Item 2. of the Declarations Page from the Effective Date to the earlier of the Expiration Date or the Project(s) completion date, or any shorter period that may occur as a result of a cancellation of this Policy, and specifically excludes any **Extended Reporting Period** hereunder.

- (P) **"Program Manager"** means Donovan Hatem LLP.
- (Q) **"Professional Services"** means **Agency Construction Management Services**, and those services an **Insured** is legally qualified to perform for others, including the use of **Technology** and **Sustainability**, in the **Insured's** capacity as an architect; engineer; land surveyor; landscape architect; **Agency Construction Manager**; interior designer; land planner; space planner; expert witness; or technical construction consultant, solely for the project(s) specified in the Covered Project Endorsement.
- Professional Services** do not include any **Operations or Maintenance Services**.
- (R) **"Retroactive Date"** means the date specified in Item 5. of the Declarations Page. This Policy shall only apply to **Claims** resulting from **Wrongful Acts** committed on or after that date.
- (S) **"Sustainability"** means taking into consideration environmentally responsible design alternatives consistent with a clients program, schedule, and budget as a LEED® accredited professional or Green Globes® certified professional. However, **Sustainability** does not include the warranty or guarantee of achieving certification or assessment levels in the design; construction; installation; manufacture or supply of materials, products or systems; or operation and maintenance.
- (T) **"Technology"** means electronic tools, computer systems and/or software, used, developed, or programmed by an **Insured** to design, share information, and warehouse electronic data in the performance of **Professional Services**. **Technology** does not include mass produced software developed for resale or licensing, or services involving electronic or computer hardware.
- (U) **"Wrongful Act"** means any actual or alleged act, error or omission in the rendering of or failure to render **Professional Services**.

III. EXCLUSIONS

This Policy does not apply to and the **Company** shall not be liable for **Damages** and/or **Claims Expenses** resulting from any **Claim** made against an **Insured**:

- (A) for, based upon, or arising from actual or alleged discrimination, humiliation, harassment, or misconduct by an **Insured** because of race, creed, color, age, gender, sex, sexual preference or orientation, national origin, religion, disability, handicap, or marital status; however, this Exclusion shall not apply to **Claims** involving the **Insured's** award or failure to award any contract, or the **Insured's** recommendation regarding the award or failure to award any contract.
- (B) for, based upon, or arising from the liability of others assumed by the **Insured** under any contract or agreement unless such liability results from a **Wrongful Act**, or would have attached to an **Insured** even in the absence of such contract or agreement.
- (C) for, based upon, or arising from the design or manufacture of any goods or products which are sold, supplied or distributed by an **Insured** or others under license from an **Insured**; however this Exclusion shall not apply to **Claims** arising from an **Insured's** use of **Technology** in performance of **Professional Services**.
- (D) for, based upon, or arising from, any failure or malfunction of electrical, internet, or telecommunications infrastructure or services, power interruptions, surges, brownouts or blackouts, unless under the direct control of an **Insured**.
- (E) for, based upon, or arising from an **Insured's** warranty or guarantee; however, this Exclusion shall not apply to an **Insured's** warranty or guarantee that the **Insured's Professional Services** conform with generally accepted architectural or engineering standards.

- (F) by any entity (or its subrogees or assignees) that:
- (1) Wholly or partly owns, operates, manages, or controls an **Insured**; or
 - (2) An **Insured** operates, manages or controls; or
 - (3) An **Insured** has an ownership interest of greater than 15%.
- (G) for, based upon, or arising from any deliberately dishonest, malicious or fraudulent act or omission or any willful violation of law by an **Insured** if a judgment or other final adjudication adverse to the **Insured** establishes such an act, omission or willful violation of law.
- (H) for, based upon, or arising from any **Claim** made by or on behalf of one **Insured** in any capacity against another **Insured**.
- (I) for, based upon, or arising from the **Insured's** ownership, rental, leasing, operation, maintenance, use or repair of any real or personal property, including property damage to property owned by, occupied by, rented or leased by or to the **Insured**.
- (J) for, based upon, or arising from the ownership, maintenance, operation, use, loading or unloading, by or on behalf of the **Insured**, or at the direction of the **Insured**, of watercraft, automobiles, motor vehicles, aircraft or mobile vehicles of any kind.
- (K) by an employee, former employee or job applicant of an **Insured** in their capacity as such.
- (L) for, based upon, or arising from **Personal Injury**, bodily injury, sickness, disease, emotional distress, mental anguish, outrage, humiliation or death of any employee of an **Insured** arising out of and in the course of his or her employment by an **Insured**; or any obligation for which an **Insured** or any carrier as an **Insured's** insurer may be liable under any Workers' Compensation, Unemployment Compensation, Employer's Liability, Disability Benefits or any similar law.
- (M) for, based upon, or arising from the cost to repair or replace faulty construction workmanship in any construction, erection, fabrication, installation, assembly, manufacture or remediation including the cost of any materials, parts or equipment furnished in connection therewith.
- (N) for, based upon, or arising from construction means, methods, techniques, sequences, procedures, site safety, or development of site safety programs.
- (O) for, based upon, or arising from the **Insured's** requiring, obtaining, maintaining or the **Insured's** failure to require, obtain or maintain any bond, suretyship or any form of insurance, or any **Claim** based upon or arising out the **Insured's** advising or failing to advise with respect to the requiring, obtaining or maintaining of any bond, suretyship or any form of insurance.
- (P) for, based upon, or arising from the **Insured's** advising or requiring of, or failure to maintain or procure any financing or monies for payment of any portion of any project, or of services or labor connected with any project.
- (Q) for, based upon, or arising from nuclear reaction, radiation or contamination, under any circumstances and regardless of cause, within or originating from a **Nuclear Facility**.
- (R) for, based upon, or arising from any patent or trade secret infringement, or any unfair competition, deceptive advertising, anticompetitive acts, restraint of trade, price fixing, or antitrust.
- (S) for, based upon, or arising from an **Insured's** involvement as a partner, officer, director, stockholder, employer or employee of any business enterprise not identified as an **Insured**.

(T) for, based upon, or arising from:

1. war, including undeclared or civil war; or
2. warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
3. insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.
4. This exclusion does not apply to a certified act of terrorism defined by Section 102. Definitions, of the Terrorism Risk Act of 2002 and any revisions or amendments thereto.

IV. CONDITIONS

(A) INSUREDS REPORTING OBLIGATIONS

As a condition precedent to the right of coverage under this Policy, the **Insured** shall have the obligation to report promptly and in writing any **Claim** or **Circumstance**. The written notice containing particulars sufficient to identify the **Insured** and claimant and full information with respect to the time, place and particulars of the event complained of, and the names and addresses of the injured and of available witnesses. Such notice shall be sent to:

Each of the entities listed on the Schedule of Participating Insurers Endorsement; and

Donovan Hatem LLP, Counselors at Law
53 State Street, Boston MA 02109
Attn: David J. Hatem, Esquire
dhatem@donovanhatem.com

This reporting obligation shall apply regardless of whether any amount involved or may be involved is greater than or within the Self-Insured Retention. This Policy requires all **Claims** or **Circumstances** to be reported, regardless of whether the actual or alleged amounts involved, or which may be involved, are less than, within or excess of the Self-Insured Retention. All such reported **Claims** or **Circumstances** shall be investigated, managed, defended, settled or otherwise resolved, in accordance with the **Joint Defense** provision of this Policy as set forth in paragraph D. Defense and Settlement of Section I. Insuring Agreements.

(B) COOPERATION

All **Insureds** shall cooperate with the **Company** and **Program Manager**. Upon the **Company's** or **Program Manager's** request, the **Insured(s)** shall submit to examination and interrogation by a representative of the **Company** or **Program Manager**, under oath if required, shall assist in effecting settlement, securing and giving evidence, obtaining the attendance of witnesses and in the conduct of suits, as well as in the giving of a written statement or statements to the **Company's** representatives and meeting with such representatives for the purpose of investigation or defense, and shall provide the **Company** or **Program Manager** with any available information and documentation relevant to any matter under investigation by the **Company**, without charge to the **Company**.

Additionally, upon the **Company's** request, the **Insured(s)** shall attend hearings, depositions and trials relative to the defense of a **Claim**,

All **Insureds** shall take such action as may be necessary to secure and effect any rights of indemnity, contribution or apportionment which the **Insured** and/or the **Company** may have.

(C) INNOCENT INSURED COVERAGE

If coverage under this Policy would not apply pursuant to section III, Exclusion (G) or due to noncompliance with section IV, Condition (B) Cooperation, such Exclusion or Condition shall not apply to any **Insured** that did not commit, participate in, or have knowledge of any deliberately dishonest, malicious or fraudulent act or omission or any willful violation of law as described in Exclusion (G), or to any **Insured** whose conduct did not violate Condition (B).

(D) LIMITS OF LIABILITY

The **Company's** maximum liability for all **Damages** and/or **Claims Expenses** resulting from each **Claim** shall be the Limit of Liability for each **Claim** set forth in Item 3.(A) of the Declarations Page. The **Company's** maximum aggregate liability for all **Damages** and/or **Claims Expenses** resulting from all **Claims** and **Circumstances** covered by this Policy shall be the aggregate Limit of Liability for all **Claims** and **Circumstances** set forth in Item 3.(B) of the Declarations Page.

Two or more **Claims** or **Circumstances** arising out of a single **Wrongful Act** shall be treated as a single **Claim**. Each separate **Wrongful Act** shall be treated as a separate **Claim**.

All **Claims** or **Circumstances** arising out of the same **Wrongful Act** shall be considered first made within the

Policy Period in which the earliest of such **Claims** was first made or deemed to be made pursuant to Condition

(A) and (B) of this Policy, and all such **Claims** shall be subject to one such Limit of Liability as set forth in Item 3.(A) of the Declarations Page.

The Limits of Liability of the **Company** for the **Extended Reporting Period**, if applicable, shall be part of, and not in addition to, the Limits of Liability of the **Company** for the **Policy Period**.

Any payment of **Claims Expenses** and/or **Damages** by the **Company** shall reduce the Limits of Liability. Once the Limits of Liability have been exhausted, the **Company** will not defend or pay **Claims Expenses** and/or **Damages** for any **Claim**.

Claims made against more than one **Insured** under this Policy shall not operate to increase the limit of the **Company's** liability.

(E) SELF-INSURED RETENTION

The **Company** shall only be liable for those amounts payable hereunder for **Damages** and/or **Claims Expenses** which are in excess of the Self-Insured Retention as set forth in Item 4. of the Declarations Page. This Self-Insured Retention shall apply separately to each **Claim** or **Circumstance** and shall be borne by the **First Named Insured** and remain uninsured.

For purposes of the Self-Insured Retention, **Claims** or **Circumstance** arising out of the same **Wrongful Act** shall be considered one **Claim**, and only one Self-Insured Retention amount shall apply thereto. The Self-Insured Retention shall not reduce or increase the Limits of Liability.

The **First Named Insured** shall promptly make direct payments within the Self-Insured Retention to appropriate parties as designated by the **Company**. The **Company** shall have no obligation to make payments within the Self-Insured Retention and to then seek reimbursement from any **Insured**.

(F) NOTICE OF CANCELLATION

This Policy may be cancelled by the **First Named Insured** by surrender of this Policy to the **Company** or by giving written notice to the **Company** stating when thereafter such cancellation shall be effective. The **Company** may cancel this Policy only for material misrepresentation in the Application for this Policy, or non-payment of premium or Self-Insured Retention, or if there has been a material change in project size and scope, by mailing to the **First Named Insured** by registered, certified, or other first class mail, at the **First Named Insured's** address shown in Item 1 of the Declarations Page, written notice stating when, not less than sixty (60) days thereafter (or ten (10) days thereafter when cancellation is due to non-payment of premium), the cancellation shall be effective. The mailing of such notice as aforesaid shall be sufficient proof of notice and this Policy shall terminate at the date and hour specified in such notice. Earned premium shall be computed on a pro-rata basis subject to the Minimum Earned Premium stated on Item 8. of the Declarations Page. The return of unearned premium is not a condition of cancellation. Unearned premium, if applicable, will be returned by the **Company** as soon as practicable. Cancellation of this Policy under any condition and at any point during the **Policy Period** by either the **First Named Insured** or by the **Company** shall cancel the **Extended Reporting Period**.

(G) EXTENDED REPORTING PERIOD

The **Extended Reporting Period** is the period specified in Item 6. of the Declarations Page immediately following the **Policy Period**.

The **Extended Reporting Period** shall terminate on the effective date and hour of any other insurance issued to the **First Named Insured** or successor to the **First Named Insured** which replaces in whole or in part the coverage afforded by the **Extended Reporting Period**, or if this Policy is cancelled by the **First Named Insured** or the **Company** pursuant to Conditions (F) Notice of Cancellation.

Notwithstanding the Minimum Earned Premium as identified in Item 8. of the Declarations Page, at the commencement of the **Extended Reporting Period**, if applicable, the entire premium thereafter shall be deemed earned and in the event the **First Named Insured** terminates the **Extended Reporting Period** before its expiration date, the **Company** shall not be liable to return to the **First Named Insured** any portion of the premium for the **Extended Reporting Period**.

The fact that this Policy may be extended by virtue of an **Extended Reporting Period** shall not in any way increase the Limits of Liability as set forth in Item 3. of the Declarations Page. The **Extended Reporting Period** shall be renewable or extended at the sole option of the **Company** and is subject to an additional premium.

(H) OTHER INSURANCE

This Policy is primary solely for the Project(s) specified in the Covered Project Endorsement. However, if any **Claim** or **Wrongful Act** noticed to the **Company** under this Policy is insured by another valid policy or policies, then this Policy shall apply only in excess of the amount of any deductibles, retentions and limits of liability under such other policy or policies, whether such other policy or policies are stated to be primary, contributory, excess, contingent or otherwise, unless such other insurance is written specifically excess of this Policy by reference in such other policy to the Policy Number indicated on this Policy's Declarations.

(I) SUBROGATION

In the event of any payment under this Policy, the **Company** shall be subrogated to all of the **Insureds** rights of recovery against any person or organization, and all **Insureds** shall execute and deliver instruments and papers and do whatever else is necessary to secure such rights. The **Insured** shall do nothing after a **Claim** is made to prejudice such rights. The **Company** hereby waives its subrogation rights against a client of the **Insured** to the extent that the **Insured** had, prior to a **Claim**, or a **Wrongful Act** reasonably expected to give rise to a **Claim**, entered into a written agreement to waive such rights.

Any amount(s) so recovered shall first be applied toward reimbursement of any payments made by the **Company** and any remaining balance shall be to the **First Named Insured** pursuant to the **Insured's** Self-Insured Retention.

(J) ALTERATION AND ASSIGNMENT

No change in, modification of, or assignment of interest under this Policy shall be effective except when made by written endorsement signed by an authorized representative of the **Company**.

(K) REIMBURSEMENT OF THE COMPANY

If the **Company** has paid any **Damages** and/or **Claims Expenses** in excess of the applicable Limit of Liability or within the amount of the applicable Self-Insured Retention, the **First Named Insured** shall be liable to the **Company** for any and all such amounts and, upon demand, shall pay such amounts to the **Company** promptly.

(L) ENTIRE CONTRACT

By acceptance of this Policy all **Insureds** agrees that the statements in the Declarations and Application are its agreements and representations, that this Policy is issued in reliance upon the truth of such representations and that this Policy embodies all agreements existing between all **Insureds** and the **Company**.

(M) DEPOSIT PREMIUM

The Deposit Premium for this Policy, **Policy Period** and **Extended Reporting Period**, as specified in Item 7. on the Declarations Page is a minimum and Deposit Premium which is subject to an adjustment in accordance with Condition (N) Audit.

(N) AUDIT

The **Company** may examine and audit any **Insured's** books and records at any time during the **Policy Period** or **Extended Reporting Period**, if applicable, within three (3) years after termination of this Policy to the extent such books and records relate to the subject matter of this Policy.

The **Company** shall audit any **Insured's** books and records for the purpose of reviewing amounts of **Professional Services** fees and/or construction values utilized to calculate a Deposit Premium and an agreed upon Audit Rate for the Project(s) specified in the Covered Project Endorsement. Any premiums due the **Company** based on any Audit Rate Endorsement(s), are due in accordance with the terms of such Endorsement.

(O) FIRST NAMED INSURED AS SOLE AGENT

The **First Named Insured** shall be the sole agent of all **Insureds** hereunder for the purpose of effecting or accepting any amendments to or cancellation of this Policy, for the purpose of receiving such notices as may be required by law and/or any provision(s) of this Policy, for the completing of any Application and the making of any representations, for the payment of any premium and the receipt of any return premium that may become due under this Policy, for the payment of any Self-Insured Retention obligations that may become due under this Policy, for providing information as may be requested in accordance with Condition (N) Audit, for reporting to the **Company** any changes in the scope or nature of the Project(s) covered under this Policy, including any Endorsements, and the exercising or declining to exercise any right under this Policy, including the **Extended Reporting Period**.

(P) BANKRUPTCY OR INSOLVENCY

The bankruptcy or insolvency of any **Insured** or an **Insured's** estate will not relieve the **Company** of its obligations under this Policy.

(Q) DISPUTE RESOLUTION PROCESS

In the event a dispute arises out of this Policy, the **Company** and the **First Named Insured** shall participate in a non-binding mediation. The parties shall share costs but bear their own legal fees and expenses. Either the **Company** or the **First Named Insured** may commence a judicial proceeding or binding arbitration proceeding after ninety (90) days has passed from the termination of the mediation. In the event of a binding arbitration, such proceeding shall be pursuant to such rules and procedures as the parties may agree. If the parties cannot agree, the arbitration shall be administered by the American Arbitration Association in accordance with its then prevailing Commercial Arbitration Rules. The arbitration panel shall consist of one arbitrator selected by the **First Named Insured**, one selected by the **Company**, and the third independent arbitrator selected by the two party-appointed arbitrators. In any such arbitration, each party will bear its own legal fees and expenses. The arbitration or any court proceeding shall take place in New York, New York and New York law shall apply, without application of any applicable conflict of law analysis.

(R) ACTION AGAINST THE COMPANY

No action shall be taken against the **Company** unless, as a condition precedent thereto, all **Insured's** have fully complied with all the terms and provisions of this Policy. In addition, no action shall be taken against the **Company** until the amount of any **Insured's** obligation or liability to a third party has been finally determined by an award or judgment against any **Insured** in an actual adjudicatory proceeding. No entity shall have the right under this Policy to join any **Insured** in any action or proceeding against an Insurer to determine the **Company's** liability nor shall the **Company** be impleaded in an action or proceeding by any **Insured** or its legal representative.

(S) TITLES

The titles of paragraph sections or endorsements in, or of, this Policy are intended solely for convenience and reference, and are not deemed in any way to modify the provisions to which they relate.

(T) FALSE OR FRAUDULENT CLAIMS

If any **Insured** refers any **Claim** to the **Company** knowing such **Claim** to be false or fraudulent, this policy shall become void as to that **Insured** only and all insurance coverage hereunder as regards the false or fraudulent **Claim** shall be forfeited as to that **Insured** only.